Colombia's minimum wage, 2004-2025: above inflation every year, and now ahead of productivity

Economic research brief · Sample project built with public data · Data to December 2025, sources accessed 26 October 2026 · Marlon Jiménez Valencia

+46%
real minimum wage, 2004-2025

+38%
GDP per worker, 2004-2025

90.5%
of the median full-time wage in 2025: highest of 32 countries

$843
PPP dollars a month in 2024: 8th of 15 in Latin America

Executive summary

- Between 2004 and 2025 the monthly minimum wage rose from COP 358,000 to COP 1,423,500 (+298%). Consumer prices rose 172%, so its purchasing power grew **46%**.
- The yearly increase never fell below the previous year's inflation: it was higher in 20 of the 21 years from 2005 to 2025, and in 2009 it equalled it (7.67% against 7.68%). The real gain averaged 1.5 percentage points a year from 2005 to 2021 and **3.6 points in 2022-2025**.
- For most of the period the real minimum wage grew more slowly than output per worker. That changed after 2022: from 2022 to 2025 the real minimum wage rose **13.6%** while GDP per worker changed -2.3%. Since 2024 the wage index is above the productivity index.
- In 2025 Colombia's minimum wage was **90.5% of the median full-time wage**, the highest of the 32 countries with OECD data (median 52%; next: Costa Rica, 85%). In 2015 it was 82.6%.
- In dollars of equal purchasing power it is not high for the region: $843 a month in 2024, 8th of 15 Latin American countries (the regional median).

Key message. Colombia's minimum wage is average for Latin America in purchasing power, but very high compared with what a typical Colombian worker earns. Since 2022, increases well above inflation have not been matched by productivity gains.

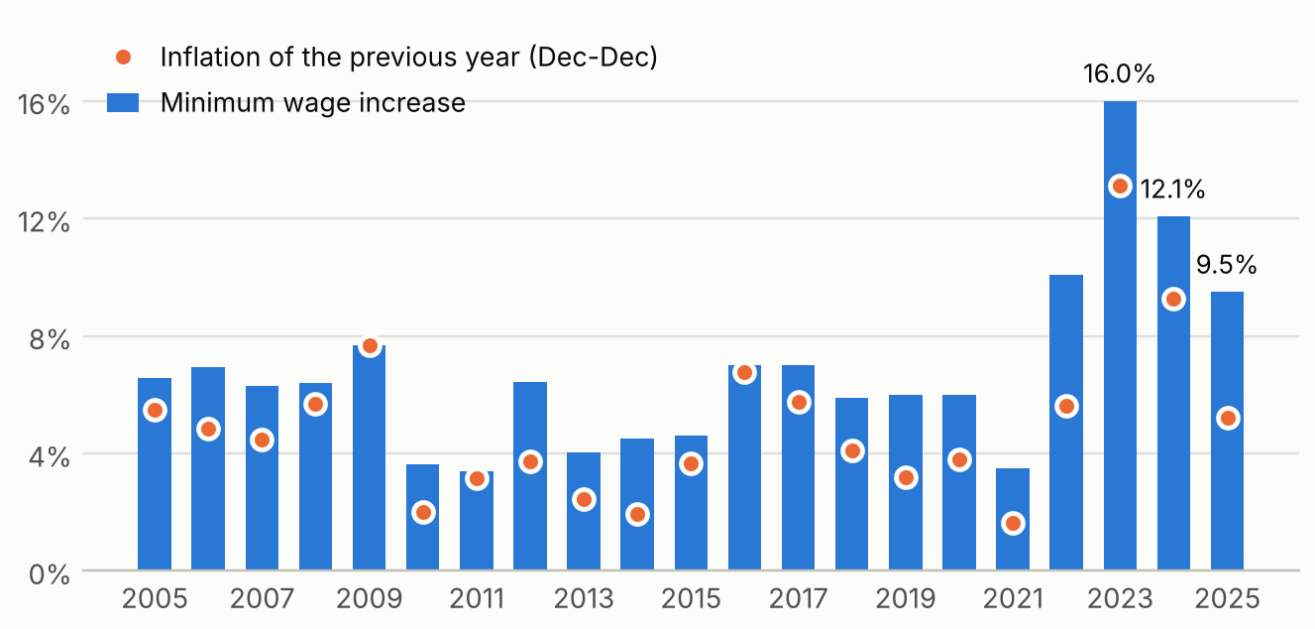
Context

Colombia sets one national minimum wage each December for the following year, by agreement of government, employers and unions in a tripartite commission or, when they do not agree, by government decree. Ley 278 de 1996 asks the decision to consider the inflation target, productivity, GDP growth and the consumer price index; in practice, as the data below show, the previous year's inflation works as a floor.

The decision matters beyond the lowest-paid formal workers: the minimum pension cannot be lower than the minimum wage, and many fees, fines and thresholds are set as multiples of it. For 2026 the government decreed COP 1,750,905, a **23.0%** increase (Decreto 1469 de 2025), the largest in the series; at the time of writing the decree is under review by the Consejo de Estado. 2026 is not in the charts because its inflation is not complete yet.

1. Increases have matched or beaten inflation every year

Minimum wage increase and the previous year's inflation (December to December), 2005-2025

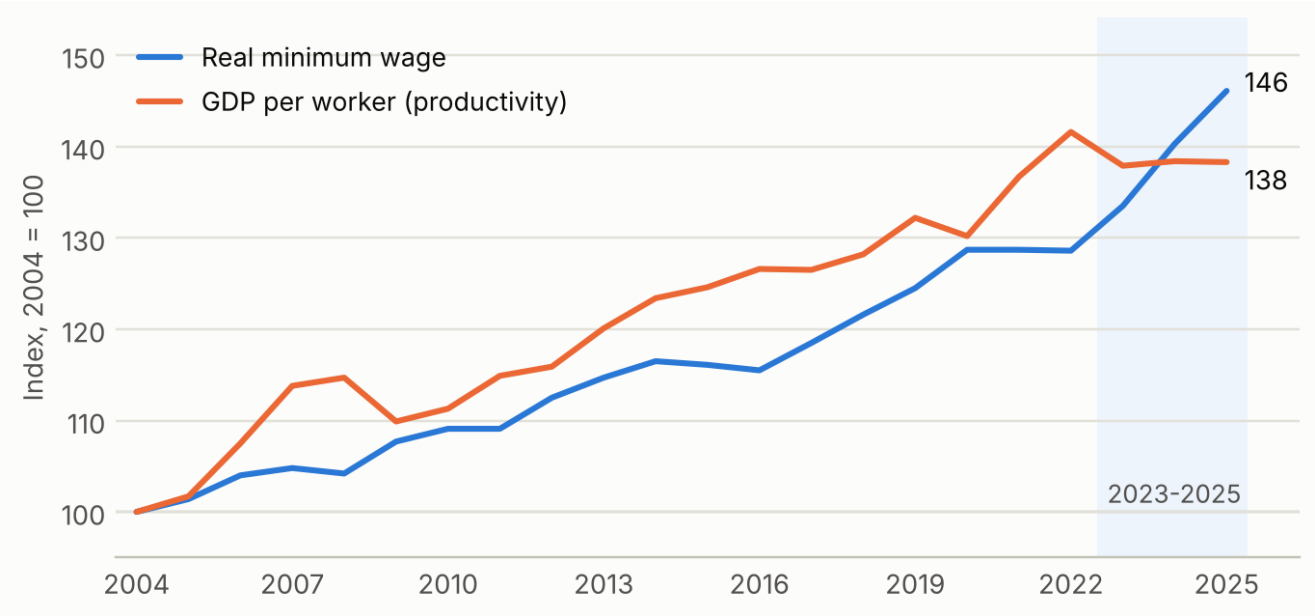


Sources: ILOSTAT and Decreto 1572 de 2024 (minimum wage); DANE (consumer price index).

Each bar is above or level with its dot: the minimum wage has kept its purchasing power against the inflation known when it was set. From 2022 the margin became much wider: +10.1% in 2022 (previous inflation 5.6%), +16.0% in 2023 (13.1%, the peak), +12.1% in 2024 (9.3%) and +9.5% in 2025 (5.2%). In 2022 the gain was eaten by that year's 13.1% inflation; from 2023, with inflation falling (5.1% during 2025), it became a real gain.

2. Since 2023 the real minimum wage has outgrown productivity

Real minimum wage (deflated by the annual average CPI) and GDP per person employed, index 2004 = 100



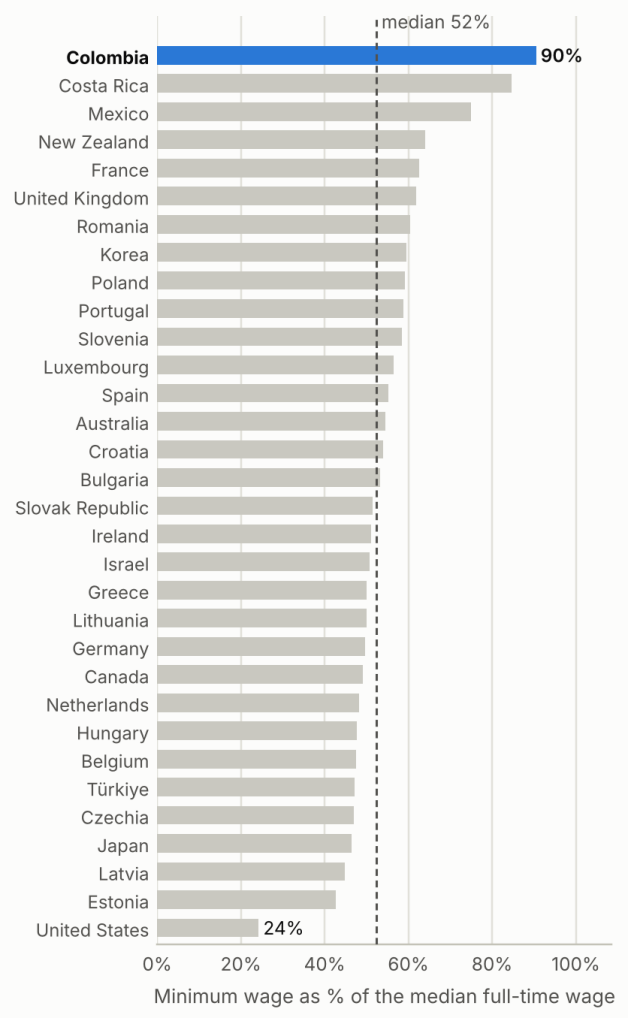
Sources: ILOSTAT, Decreto 1572 de 2024, DANE; World Bank WDI, GDP per person employed (constant 2021 PPP $).

Over the whole period both lines end close together: +46% for the real minimum wage and +38% for GDP per worker. The path differs: until 2022 the wage lagged behind (index 129 against 142); in the last three years it gained 13.6% while output per worker did not grow. In 2025 a minimum-wage worker could buy COP 449,314 more a month (at 2025 prices) than in 2004.

3. High against local wages, average in purchasing power

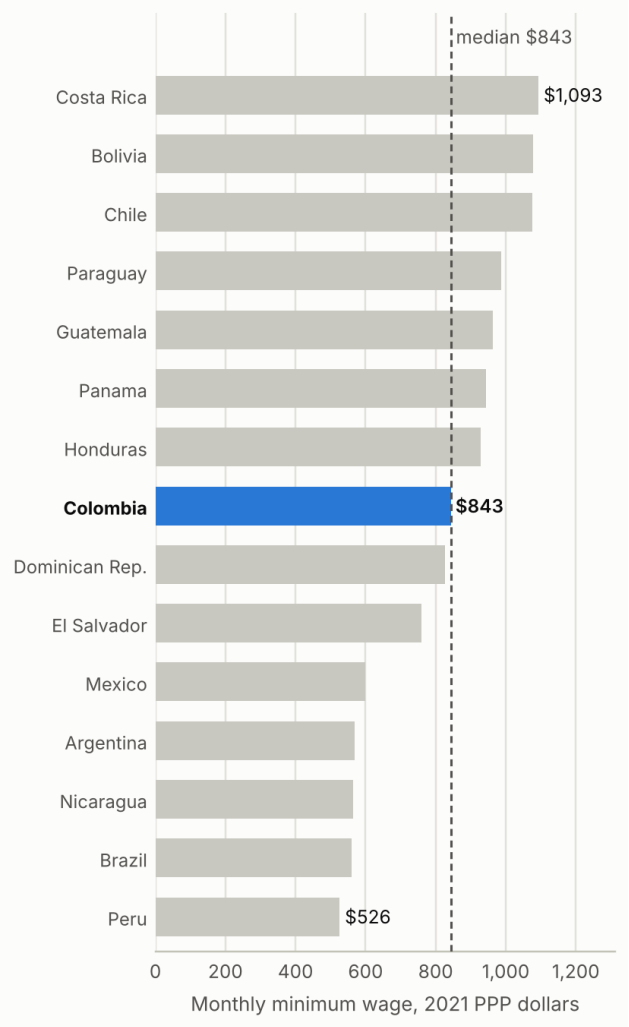
Two ways to compare a minimum wage across countries give opposite pictures of Colombia.

Minimum wage as % of the median full-time wage, 2025



Source: OECD, Minimum relative to average wages of full-time workers. 32 countries with data for 2025.

Monthly minimum wage in 2021 PPP dollars, 2024



Source: ILOSTAT, statutory nominal gross monthly minimum wage. Ecuador, Uruguay excluded (series break, see Limitations).

Relative to typical wages (left), Colombia's minimum is 90.5% of the median wage of full-time workers, far above the median of 52% among the 32 countries and above Costa Rica and Mexico, the other Latin American members. The ratio rose from 82.6% in 2015. A ratio near 100% means the legal floor and the wage of the typical full-time worker are almost the same.

In purchasing power (right), the same wage buys about $843 a month in 2021 international dollars, the median of 15 Latin American countries ($843), below Costa Rica ($1,093) and above Peru ($526). Read together, the two charts suggest that the ratio is high mainly because typical full-time wages are low, rather than because the floor is high by regional standards.

What this means for decision makers

- **Employers and budget planners.** The data show a stable rule: the increase is at least last year's inflation plus a premium (about 1.5 points a year up to 2021, 3.6 points since 2022). Wage budgets for minimum-wage staff should plan for that premium, and for 2026 the decreed increase is far above it.
- **Policy analysts.** With the minimum close to the median wage, each increase affects a large share of formal wages, not only the lowest. The minimum-to-median ratio, formal employment and labour productivity are the indicators to follow together.
- **Researchers.** The 23% increase of 2026 will push the ratio further up unless median wages grow as fast. The 2026 household survey and inflation data will show by how much.

Limitations

- Productivity is GDP per person employed (World Bank). It includes informal work and is not the productivity measure used in the wage negotiation.
- The real wage uses the annual average CPI. Other deflators (December CPI, low-income CPI) move the results by one or two points but do not change the pattern.
- The OECD ratio compares with the median wage of full-time employees from each country's own data sources; countries without a statutory minimum wage are not in the chart.
- In ILOSTAT, the 2024 values for Ecuador and Uruguay fall by more than 80% from the previous year together with a change of source, which signals a series break; they are excluded. Venezuela has no recent data.
- This brief is descriptive. It does not estimate the effect of the minimum wage on employment or informality.

Method

A Python script downloads every series from the official APIs and files, checks that each year from 2003 to 2025 is complete, and computes: the December-to-December inflation; each year's increase against the previous year's inflation; the real minimum wage at 2025 prices (annual average CPI); and indexes with 2004 = 100. ILOSTAT ends in 2024, so the 2025 value comes from the decree. All tables and charts are rebuilt with one command (`python run.py`).

Sources (accessed 26 October 2026)

- DANE, Índice de Precios al Consumidor (IPC), index series 2003-2026, Dec 2018 = 100. Free reuse citing "Fuente: DANE". https://www.dane.gov.co/files/operaciones/IPC/sep2026/anex-IPC-Indices-sep2026.xlsx
- ILO, ILOSTAT, Statutory nominal gross monthly minimum wage (DF_EAR_INEE_CUR_NB), local currency and 2021 PPP $. CC BY 4.0. https://ilostat.ilo.org/data/
- Presidencia de la República, Decreto 1572 de 2024 (minimum wage 2025: COP 1,423,500) and Decreto 1469 de 2025 (minimum wage 2026: COP 1,750,905). https://dapre.presidencia.gov.co/normativa/decretos
- World Bank, World Development Indicators, GDP per person employed, constant 2021 PPP $ (SL.GDP.PCAP.EM.KD). CC BY 4.0. https://data.worldbank.org/indicator/SL.GDP.PCAP.EM.KD
- OECD, Minimum relative to average wages of full-time workers (DSD_EARNINGS@MIN2AVE), median. CC BY 4.0. https://data-explorer.oecd.org/

Sample project built with public data. Figures computed by the author from the sources above; any error is the author's.